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SEASON 5

OVER THE WALL

PUSH THE POSSIBILITIES

Masterclass On

FINANCE BEHIND FMCG GROWTH

The promise: turn an idea into an investable business case

1 | Commercial logic

Who is the customer? What problem are we solving? Why will customers choose us?

2 | Financial proof

What revenue, contribution, operating profit, cash flow, and returns will we create?

3 | Executive decision

What investment is required, what could go wrong, and what decision do we need?

A strong business case connects strategy → operating drivers → financial outcomes → cash returns → a clear recommendation.

Core mindset: model the business, not just the spreadsheet.

Start with the business question

The six questions to answer

- What customer need or business problem are we solving?
- How large is the addressable market—and what evidence supports it?
- What drives volume, price, mix, and repeat purchase?
- What incremental costs and capabilities are required?
- How much investment and working capital will be tied up?
- What return, risk, and strategic benefit justify the decision?

Market sizing framework

TAM = total category opportunity

SAM = portion we can serve

SOM = realistic share we can win

Value creation test

Incremental value = incremental cash inflows − incremental cash outflows, assessed over time and against the required return.

Judge signal: clear problem, credible evidence, explicit value driver.

Translate the opportunity into measurable drivers

Market

Target consumers × purchase frequency × average purchase value

Volume

Active outlets × units per outlet × selling periods

Net revenue

Units sold × company net realization per unit

Illustrative FMCG example

10,000 target outlets × 20 units/outlet/month × 12 months = 2.4 million units/year

At Tk 28 net realization per unit → annual net revenue = Tk 67.2 million

Build revenue from operational drivers—not a top-down growth percentage with no explanation.

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Build the model in a logical sequence

01 Inputs
Market, price, volume, costs, tax, CAPEX, timing

02 Operating drivers
Distribution, units/outlet, repeat rate, capacity, headcount

03 P&L
Gross-to-net revenue → contribution → EBITDA → net income

04 Cash flow
Tax, CAPEX, depreciation, working capital, free cash flow

05 Appraisal
NPV, IRR, payback, hurdle rate

06 Scenarios
Best/base/worst case, sensitivity, risk mitigations

Modeling discipline: inputs → calculations → outputs. Keep assumptions separate from formulas.

Assumptions: make every important number defendable

Good assumption

“We target 2,000 outlets in Year 1, ramping from 500 per quarter; pilot productivity is 18 units/outlet/month.”

Weak assumption

“We will capture 10% of the market because our product is better.”

Common pitfalls

- Over-optimistic adoption and growth
- Hidden launch, logistics, promotion, and people costs
- Mixing MRP with company net revenue
- Ignoring cannibalization and capacity constraints

Controls that impress judges

- Source and owner for each key assumption
- Base case grounded in evidence
- Cross-check volume, capacity, and market share
- Downside case and trigger-based mitigation

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Build the P&L from gross to net

Gross sales	Units × MRP / invoiced list price
Less: indirect tax	VAT/SD treatment according to applicable rules and accounting policy
Less: trade spending	Discounts, offers, rebates, sales incentives where classified as contra-revenue
Net revenue	Company revenue after relevant deductions
Less: COGS	Materials, packaging, direct labor, manufacturing overhead
Gross profit / contribution	Define variable-cost contribution separately from accounting gross profit
Less: OPEX	Marketing, selling, distribution, incremental overhead
EBITDA	Operating earnings before interest, tax, depreciation and amortization
Less: D&A, interest, tax	Apply accounting treatment and tax assumptions
Net income	Profit after applicable expenses and taxes

Net Revenue

MRP

Indirect Tax (VAT & SD)

Sales related expenditures

- Distributor Margin
- Retailer Margin
- Sales Force (Lead) Incentives
- Customer Discount and Offer

Revenue = MRP - Indirect Tax - Sales related expenditures

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Start pricing from the consumer and work backward

Five pricing approaches

Cost-plus Cost + target markup	Cost + target markup
Competitive	Reference competitor price and value proposition
Skimming	Launch high, then reduce as market evolves
Penetration	Enter at a lower price to accelerate trial and share
Value-based	Price to customer-perceived value and willingness to pay

Choose a price that works for the consumer, channel partners, and the company's required contribution.

The trade value chain | MRP is not company revenue

Consumer MRP
Tk 50.00

Less indirect tax
Illustrative Tk 7.50

Less retailer Commission
Illustrative Tk 3.00

Less distributor Commission
Illustrative Tk 2.00

Less company-funded trade / sales spends
Illustrative Tk 2.50

Company net realization
Illustrative Tk 35.00

Critical caution

This is a simplified illustration, not a statutory tax or universal channel formula.

Channel terms, tax treatment, and accounting classification vary by market and contract.

COST OF GOODS SOLD (COGS)

Direct Cost

- Raw Materials & Packaging Materials
- Labor
- Direct Manufacturing Cost

Indirect Cost

- Utilities
- Factory Overhead

Worked example | Annual project P&L (illustrative)

P&L line	Annual amount
Units sold	1,000,000
MRP per unit	Tk 50
Gross consumer sales value	Tk 50.0m
Less: tax / channel / trade deductions	Tk 15.0m
Net revenue	**Tk 35.0m**
COGS	Tk 18.2m
Gross profit	Tk 16.8m
Marketing + selling + incremental overhead	Tk 10.5m
EBITDA	**Tk 6.3m**
Depreciation	Tk 0.8m
Interest	Tk 0.2m
Tax (illustrative)	Tk 1.3m
Net income	**Tk 4.0m**

Gross margin

16.8 ÷ 35.0 = 48.0%

EBITDA margin

6.3 ÷ 35.0 = 18.0%

Judges check the denominator: use net revenue, not MRP value.

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Use margins to diagnose, not decorate the model

Gross margin %

Gross profit ÷ Net revenue

EBITDA margin %

EBITDA ÷ Net revenue

Contribution/unit

Net realization − variable cost/unit

Align the P&L with the operating plan

- Marketing spend must match campaign timing, media reach, sampling, and expected conversion.
- Salesforce and distribution costs must match outlet expansion and service frequency.
- Production capacity, yield, wastage, and procurement assumptions must support forecast volume.
- Separate one-off launch costs from recurring costs—but include both in the investment case.

Judge signal: every material P&L line has a business driver and a clear owner.

Profit is not cash

Why profitable projects run out of cash

- Customers may pay after 30–60 days.
- Inventory must be purchased before it is sold.
- Suppliers may require deposits or shorter payment terms.
- CAPEX is paid in cash even though it is expensed over time through depreciation.
- Rapid growth can increase receivables and inventory faster than profits accumulate.

Accounting profit

Revenue and expenses recognized under accounting rules.

Cash flow

Actual timing of cash receipts and payments.

A good project needs both attractive economics and sufficient funding.

Worked example | Positive EBITDA, negative cash flow

Cash flow bridge	Amount
EBITDA	Tk 6.3m
Less: cash tax and other operating cash items	Tk 1.0m
Less: increase in net working capital	Tk 4.0m
Less: CAPEX	Tk 5.0m
Free cash flow	**Tk -3.7m**

The lesson

Profitability does not guarantee cash availability.

What to do

Forecast monthly cash, negotiate terms, stage CAPEX, and set a funding buffer.

Judge signal: the team understands cash timing and can explain the peak funding requirement.

Evaluate the investment, not just the margin

NPV

Present value of future project cash flows less initial investment. Positive NPV indicates value creation at the chosen discount rate.

IRR

Discount rate at which project NPV equals zero. Compare with the corporate hurdle rate.

Payback

Time needed for cumulative cash flows to recover the initial investment. Simple payback ignores time value; discounted payback includes it.

Decision framework

- NPV is the primary value-creation measure when cash flows and discount rate are credible.
- IRR is intuitive, but can mislead with unusual cash-flow patterns or mutually exclusive projects.
- Payback is useful for liquidity and risk discussions, but ignores cash flows after the payback point.

IRR example | Is the return high enough?

Illustrative project cash flows (Tk million)

Year 0	Year 1	Year 2	Year 3	Year 4
-10.0	+3.0	+4.0	+5.0	+3.0

IRR solves: $0 = -10 + \frac{3}{(1+r)} + \frac{4}{(1+r)^2} + \frac{5}{(1+r)^3} + \frac{3}{(1+r)^4}$

Interpretation

Use Excel =IRR(cash flow range) for evenly spaced annual cash flows.

Decision rule

If IRR exceeds the risk-appropriate hurdle rate, the project may qualify—confirm NPV and risk.

Payback | Simple vs discounted

Simple payback

Initial investment = Tk 10m

Annual cash inflow = Tk 2.5m

Simple payback = 10 ÷ 2.5 = 4 years

Discounted payback

Discount each annual cash flow at the chosen discount rate, then accumulate discounted flows until they recover the initial investment.

Useful for

Liquidity, exposure duration, and comparing recovery speed.

Limitations

Payback does not measure total value; discounted payback can still ignore later cash flows.

Use the same cash-flow definition and timing convention consistently across NPV, IRR, and payback.

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Growth can destroy value

Promotion economics

Incremental contribution = incremental units × contribution/unit − incremental promotion cost

Break-even uplift

Required incremental units = promotion cost ÷ contribution per incremental unit

Illustrative test

A campaign costs Tk 500,000. Contribution per incremental unit is Tk 25.

Break-even incremental volume = 500,000 ÷ 25 = 20,000 units.

Measure incremental sell-out, baseline vs uplift, cannibalization, forward buying, and post-promotion drop-off.

Scenario planning and sensitivity

Scenario design: change the drivers, not just the final answer

Driver	Worst case	Base case	Best case
Volume vs plan	−20%	Plan	+15%
Net realization	−5%	Plan	+2%
COGS per unit	+8%	Plan	−3%
Launch delay	3 months	On time	On time
Distribution ramp	Slow	Expected	Faster

Report the impact on net revenue, EBITDA, peak cash need, NPV/IRR, and the decision threshold.

Answer tough financial questions with a repeatable method

“What if sales are 20% lower?”	Quantify EBITDA, cash, NPV/IRR impact; explain the trigger and mitigation.
“Why is this price right?”	Show consumer value, competitor reference, channel economics, and margin floor.
“What is the biggest assumption?”	Name it, show evidence, quantify sensitivity, and propose a pilot.
“Why not invest elsewhere?”	Compare risk-adjusted returns, strategic fit, and resource constraints.
“How will you know it is working?”	Define leading indicators, milestones, owner, and stop/go thresholds.

Answer in this order: conclusion → number → evidence → action.